CURRENCY WITH PUBLIC

- Cash with public has increased notably. The incremental increase in currency with public has witnessed a jump with 48% increase last fiscal (till 18 Mar'16) over the incremental increase FY15.
- The common perception is that FY17 being an election year people are hoarding cash. However, had this been true, even FY14 should have shown the similar trend. In fact, that year witnessed a decline.
- In fact, in FY12, when Punjab and Uttar Pradesh went to polls, currency in circulation actually witnessed a significant decline. Are we to believe that elections in Punjab and Uttar Pradesh are relatively more transparent than say other states like Bihar (reason for possible increase in currency in 2015)? It is hard to believe so.
- As a logical corollary, then elections in Punjab and Uttar Pradesh are again due in 2017. So by this logic, cash will decline. If this is so, it will be good for policy makers.

Table 1: Currency with Public

Period	Currency with Public (Rs Bn)	Incremental Currency with Public (Rs Bn)	Incremental growth (yoy change)
FY16	15939	2075	48
FY15	13863	1405	34
FY14	12458	1048	-11
FY13	11411	1174	5
FY12	10237	1118	-23
FY11	9118	1443	41
FY10	7675	1020	5

Source: RBI; SBI Research

- With state elections happening in almost all fiscals, the elections can't thus be blamed all the time for increase in public currency holding.
- We believe election may be only a small reason, but the bigger reason could be the trend in demonetization. There are suggestions in public domain and even analysis that are suggesting that higher denomination notes may be replaced. We believe, as a result of that people may be using more of high value currency now (that could be replaced) to purchase safe haven assets.

THE ADVANTAGES & DISADVANTAGES OF POSSIBLE DEMONETIZATION

- There has been suggestion that is doing the rounds that higher denomination notes of ₹1000 and ₹500 be demonetized. This is expected to yield the following benefits:
  - Demonetizing ₹500 and ₹1,000 currency notes will bring a huge amount of the funds kept in these denominations into the banking channels and will facilitate a reduction in domestic black money transactions.
  - As holding cash in small denominations is cumbersome, the informal services payments made in day to day life, people will shift towards electronic modes of payment thereby making it increasingly easier to track financial transactions, thereby leading to better service tax and income tax collections.
- However, should we accept this logic, we need to take a hard look at the logistical challenges that will emanate.
- First of all - demand for banknotes and coins increased in FY15, notwithstanding the use of technology driven non-cash modes of payment.
- Notes of denominations of ₹500 and ₹1,000 together accounted for approximately 85% of the total value of banknotes in circulation at end March 2015 while together they accounted for 22% of the volume at end March 2015.
- Despite the presence of high denominations, RBI had spent ₹37.62 billion in printing notes in 2014-15. If the notes of these two denominations are withdrawn, the cost of printing notes for RBI would also multiply.
- At the branch level, the cost of handling cash would zoom and there would be complete chaos as the funds kept in these denominations will be flushed into the banking channels. With higher amount of notes in circulation, the soiled/mutilated notes will also increase. In India, the smaller notes have a life of less than a year. A ₹100 bill stays around for about three-four years. The ₹500 and ₹1,000 notes keep going for about five to seven years. Currently there are around 5000 currency chests across the country with the Banks that are used for storing notes. The capacity of these chests would need to be expanded 5x to enable storing of enough supply of currency to the public. Construction of these chests- which have specialized steel walls and doors, would take time, as well as, substantial investment.
- Operators of automated teller machines say that demonetizing ₹500 and ₹1,000 notes will throw up huge challenges as ATM machines will hold lesser amounts than their current capacity. An ATM machine typically holds 10,000 bills and if these were to comprise only notes of ₹100 the rate of replenishment would go up. This will increase costs and inconvenience to customers. Besides, transaction time at machines would also rise because maximum amount that can be withdrawn at one go would be ₹4,000 since machines are designed to dispense only 40 notes at a time.